City Council Meeting: July 14, 2026 Santa Monica, California

RESOLUTION NUMBER _____ (CCS)

(City Council Series)

A RESOLUTION OF THE CITY COUNCIL OF THE CITY OF SANTA MONICA SUBMITTING TO THE VOTERS A MEASURE TO AMEND ARTICLES XVIII AND XXIII OF THE CITY CHARTER TO PROHIBIT EVICTIONS BASED ON NON-PAYMENT OF RENT WHEN THE TENANT OWES LESS THAN A FAIR THRESHOLD AMOUNT OF RENT

WHEREAS, the City's Rental Control Law (Article XVIII of the City Charter, also referenced as "RCCA") and the City's Housing Policies Law (Article XXIII of the City Charter, also references as "HPCA") prohibit evictions of tenants except as enumerated in the law, generally excluding only tenants renting single-family homes and condominiums; and

WHEREAS, on or about November 8, 2022, Section 1805 of the City Charter was amended to allow for Annual General Adjustment to the maximum rent ceiling, based upon the CPI, with a reduced maximum increase set at 3%; and

WHEREAS, the global pandemic due to COVID-19 caused unprecedented hardships, disruptions, and long-term impacts that continue to negatively affect Santa Monica's residents; and

WHEREAS, subsequent emergencies, including the Woolsey and Palisades Fires, have caused further hardship, disruptions and long-term impacts that continue to negatively affect Santa Monica's residents; and

WHEREAS, the eviction moratorium, rental assistance, rental housing price gouging protections, and other efforts to prevent displacement have wound down while the long-term impacts of the pandemic, fire, and other emergencies continue to be felt; and

WHEREAS, inflation rates continue to spike and rising costs are hampering residents' ability to stay in their homes; and

WHEREAS, at least 14,660 renter households in the City are cost burdened, representing 31.6% of renter households, as further discussed in the City's current Housing Element, adopted October 11, 2022; and

WHEREAS, according to the City's most recent Assessment of Fair Housing, approved by the City Council on April 20, 2020, there are 10,225 households in Santa Monica experiencing severe housing cost burden, of which 2,930 of these households are families; and

WHEREAS, Santa Monica rents are well above national average rents, and according to the United States Federal Reserve's Report on the Economic Well-Being of U.S. Households in 2025, nearly one-third of renters nationwide earning less than $50,000 fell behind on rent at some point in the year, and more than 17% of renters earning less than $100,000 fell behind on rent at some point in the year; and

WHEREAS, according to the same report for the year, over one-third of adults were one $400 financial setback away from being unable to pay their bills; and

WHEREAS, tenants and legal aid practitioners have reported evictions occurring over small or de minimis rental debts of hundreds of dollars or less, which evictions may be legal under existing law; and

WHEREAS, based on nonpayment eviction notices and eviction lawsuits provided to the Santa Monica City Attorney's Office pursuant to Santa Monica Municipal Code ("SMMC") Section 4.27.060, over the past several years, tenants have received eviction notices based on rental debts as low as $73.87 and eviction lawsuits based on rental debts as low as $405.67; and

WHEREAS, tenants faced with one-off or short-term costs, such as car repairs and healthcare payments, or temporary disruptions in income, may fall behind on rent payment despite their long-term ability to afford monthly rent payments; and

WHEREAS, many tenants faced with unexpected necessary expenses may be able to pay those expenses and their rent, on their own or by securing rental assistance that may take time to apply for and receive, if they have enough time; and

WHEREAS, other jurisdictions, including the City of Los Angeles, the County of Los Angeles, the City of Oakland, and the City of Berkeley, have enacted just cause eviction protections setting a fair threshold amount of rent that must be owed before a landlord may lawfully evict a tenant for nonpayment; and

WHEREAS, Small Area Fair Market Rents as determined by HUD for ZIP codes wholly or partially in Santa Monica are on average approximately 30% higher than Fair Market Rents as determined by HUD for the Los Angeles-Long Beach-Glendale Metropolitan Area; and

WHEREAS, the Santa Monica Rent Control Board (the "Board") has heard input from the public on the feasibility and desirability of amending the RCCA to prohibit evictions based on non-payment of rent when a tenant owes less than a fair threshold amount of rent; and

WHEREAS, in light of the foregoing recitals, the Board has recommended the City Charter be amended to modify Article XVIII to prohibit evictions based on non-payment of rent when a tenant owes less than one month of the average of the Small Area Fair Market Rents as determined annually by HUD for equivalent-sized rental units in the ZIP codes wholly or partially within the City of Santa Monica, as set forth in the transmittal letter dated June 29, 2026 and attached hereto as Exhibit 1; and

WHEREAS, the City Council has considered and approved the Board's recommendation because these amendments are in the public interest as they would strengthen tenant protections from unnecessary displacements; and

WHEREAS, after consideration of the Board's recommendation, the City Council desires the City Charter be amended at both Article XVIII and Article XXIII to maintain consistency of "just cause" for eviction protections that apply to both controlled and non-controlled rental units in the City.

NOW, THEREFORE, THE CITY COUNCIL OF THE CITY OF SANTA MONICA DOES RESOLVE AND PROCLAIM AS FOLLOWS:

SECTION 1. At the General Municipal Election called for November 3, 2026, the following measure shall be submitted to the qualified electors of the City of Santa Monica:

MEASURE " ": Shall the City Charter be amended to prohibit evictions based on non-payment of rent when a tenant owes less than one month of the average of fair market rents, set annually by the U.S. Department of Housing and Urban Development, for ZIP codes in Santa Monica?	Yes _____ No _____

SECTION 2. That the City Clerk shall file a certified copy of this resolution with the Board of Supervisors and with the county election department of the County of Los Angeles.

SECTION 3. That the City of Santa Monica recognizes additional costs may be incurred by the County by reason of the addition of this measure to the ballot and agrees to reimburse the County for any additional costs.

SECTION 4. The City Clerk shall transmit to the City Attorney, in accordance with applicable law, a copy of the proposed measure. The City Attorney shall prepare an impartial analysis of the measure, which shall not exceed 500 words in length. The

impartial analysis for each measure shall be filed by the date set by the City Clerk for the filing of primary arguments. In accordance with applicable law, not less than 10 calendar days before the City Clerk submits the official election materials for printing, the City Clerk shall make a copy of all applicable elections materials available for public examination in the City Clerk's office.

SECTION 5. The City Council authorizes its members, as follows, to file written arguments for or against the measure described above and which is contained in Exhibit 2 to this Resolution, which Exhibit is incorporated by reference herein:

FOR: _____

AGAINST:_____

All written arguments filed by any person in favor of or against the measure, including any rebuttal arguments, shall be accompanied by the names and signatures of the persons submitting the argument as required by applicable law, and any names, signatures, and arguments may be filed until the time and date fixed by the City Clerk in accordance with applicable law, after which no change may be submitted to the City Clerk unless permitted by law.

SECTION 6. The City Clerk shall cause the text of the measure, which is contained in Exhibit 2, together with the City Attorney impartial analysis, and any arguments for or against the measure, as well as any rebuttals, to be mailed to all qualified voters with the sample ballots. In addition to other notices and publications required by law, the City Clerk, not less than forty (40) days and not more than sixty (60) days before the General Municipal Election, shall cause the text of the measure to be published once in the official newspaper and in each edition thereof during the day of publication. The City Clerk is authorized to give such notices and to fix such times and dates as are required by law or

which are appropriate to conduct properly the election.

SECTION 7. The provisions of Resolution Numbers 11763 and 11764 are referred to and incorporated into this resolution for more particulars concerning the conduct of General Municipal Election to be held on November 3, 2026, and in all respects the election shall be held and conducted as provided for by applicable law. The City Clerk is authorized and directed to procure and furnish any official ballots, notices, printed materials and all supplies or equipment that may be necessary in order to properly and lawfully conduct the election.

SECTION 8. The City Clerk shall certify to the adoption of this Resolution, and thenceforth and thereafter the same shall be in full force and effect.

APPROVED AS TO FORM:

_____
HEIDI VON TONGELN
City Attorney

EXHIBIT 1

City of
Santa Monica®

Rent Control Board
1685 Main Street, Rm. 202
Santa Monica, CA 90401
Phone: 310-458-8751

June 29, 2026

Mayor Caroline Torosis and Members of the City Council
1685 Main Street, Room 209
Santa Monica, CA 90401

Re: Proposed Charter Amendments Concerning Tenant-Protection and Related Just-Cause Eviction Provisions

Dear Mayor and Councilmembers,

At its June 25, 2026 meeting, following a public hearing, the Santa Monica Rent Control Board voted to recommend that the City Council place proposed amendments to Article XVIII of the City Charter before the voters at the November 2026 general election.

The proposed amendments would:

1. Establish a small-rental-debt threshold, based on the average of HUD Small Area Fair Market Rents for equivalent-sized units in residential ZIP Codes located wholly or partially within the City, before nonpayment of rent may serve as a basis to terminate a rent-controlled tenancy;
2. Expand and clarify protections against termination of tenancy based on the addition of certain family members, dependents, minor children, and non-family household members, subject to applicable law, affordable-housing deed restrictions, notice and approval requirements, and lawful occupancy limits;
3. Protect certain covered occupants who have resided in a rental unit for at least one year from being displaced solely because the tenant of the owner vacates;
4. Add just-cause grounds and related notice provisions to address compliance with applicable affordable housing deed restrictions; and
5. Add a finding that Article XVIII is more protective than California Civil Code section 1946.2, in order to support continued application of the City's local just-cause framework to rent-controlled units.

The Board believes these amendments are in the public interest because they would strengthen tenant stability, reduce displacement based on relatively small rental debts or reasonable household changes, preserve protections for long-term occupants in appropriate circumstances, and support consistent enforcement of affordable housing eligibility requirements while maintaining safeguards for landlords, deed-restricted housing, and lawful occupancy limits.

Attachment A contains the clean Board-recommended proposed Charter amendment language. Attachment B contains a redline showing the proposed changes to current Article XVIII through strikeout and underline formatting. These attachments incorporate the revisions approved for recommendation by the Board at the June 25 public hearing and should be treated as the Board's recommended language.

The Board understands that final ballot structure and final measure language remain subject to City Attorney review and City Council consideration.

If there is anything the Board or staff can do to assist the Council in its consideration of these proposals, please let me know.

Sincerely,

Jonathan Holub

Jonathan Holub, Executive Director

cc: Oliver Chi, City Manager
Heidi Von Tongeln, City Attorney
Romy Ganschow, Chief Deputy City Attorney
Jonathan Erwin-Frank, Deputy City Attorney
Denise Anderson-Warren, City Clerk
Kevin Mitchell, General Counsel
Rent Control Board Commissioners

Proposed Amendment Concerning Small Rental Debts

Section 1806. <u>Eviction</u>

(a) No landlord shall take action to terminate any tenancy including but not limited, to making a demand for possession of a rental unit, threatening to terminate a tenancy, serving any notice to quit or other eviction notice or bringing any action to recover possession or be granted recovery of possession of a controlled rental unit unless:

(1) The tenant has failed to pay the rent to which the landlord is entitled under the rental housing agreement and this Article, provided that the amount due exceeds the average of the Small Area Fair Market Rents set annually by the U.S. Department of Housing and Urban Development for equivalent sized rental units in the residential ZIP Codes located wholly or partially within the City of Santa Monica, and the written notice to the tenant terminating tenancy states the number of bedrooms in the tenant's rental unit and the applicable average Small Area Fair Market Rent amount for an equivalent sized rental unit.

Proposed Amendment Concerning Added Household Members

Section 1806. Eviction

(a) No landlord shall take action to terminate any tenancy including but not limited, to making a demand for possession of a rental unit, threatening to terminate a tenancy, serving any notice to quit or other eviction notice or bringing any action to recover possession or be granted recovery of possession of a controlled rental unit unless:

. . .

(2) The tenant has continued, after written notice to cease, to commit a material and substantial breach of an obligation or covenant of his or her tenancy which the landlord has not waived, either expressly or impliedly through the landlord's conduct and which the landlord is not estopped from asserting, other than the obligation to surrender possession upon proper notice. Notwithstanding any contrary provision in this Section, and notwithstanding any contrary provision in the rental housing agreement, a landlord shall not take any action to terminate a tenancy, and there shall be no grounds to take action to terminate any tenancy, based on:

(A) a tenant's sublease of the unit if the following requirements are met:

(i) The tenant continues to reside in the rental unit.

(ii) The sublease replaces a departed tenant(s) under the rental agreement on a one-for-one basis.

(iii) The landlord has unreasonably withheld the right to sublease following written request by the tenant. If the landlord fails to respond to the tenant in writing within fourteen (14) days of receipt of the tenant's written request, the tenant's request shall be deemed approved by the landlord.

(B) occupancy of the rental unit by one or more additional persons in excess of the number of persons permitted by the rental housing agreement if the tenant of the owner has continuously resided in the rental unit for at least one year before the additional person begins residing in the rental unit, and each additional person is the spouse, domestic partner who has filed an Affidavit of Domestic Partnership with the City, parent, grandparent, child, grandchild, sibling, dependent of the tenant of the owner, or minor dependent of any additional person listed in this section, provided that the additional

person is not prohibited from occupying the rental unit by state or federal law or by an applicable affordable housing deed restriction. The tenant of the owner shall give written notice to the landlord within fourteen (14) days after the additional person begins residing in the rental unit, and stating that the additional person is a family member or dependent covered by this subparagraph.

(C) occupancy of the rental unit by any number of persons in excess of the number of persons permitted by the rental housing agreement if the excess occupancy results from the birth, adoption, or change of legal custody of a minor child or children for whom the tenant, or the tenant's spouse or domestic partner who has filed an Affidavit of Domestic Partnership with the City, is the parent or legal guardian, provided that the occupancy is not prohibited by state or federal law or by an applicable affordable housing deed restriction.

(D) occupancy of the rental unit by one or more additional persons in excess of the number of persons permitted by the rental housing agreement and such additional person intends to create a household with the tenant of the owner notwithstanding the fact that the additional person is not a family member or dependent of the tenant identified in subsection (B), if all of the following conditions are met:

(i) The tenant of the owner has continuously resided in the rental unit for at least one year before the additional person begins residing in the rental unit and continues to reside in the rental unit; and

(ii) The landlord has unreasonably withheld approval of the additional occupant following written request by the tenant of the owner. If the landlord fails to respond to the tenant in writing within fourteen (14) days of receipt of the tenant's written request for approval, the tenant's request shall be deemed approved by the landlord.

A landlord's denial of approval of an additional occupant shall be unreasonable if it is based on the additional occupant's lack of creditworthiness or financial criteria and the additional occupant will not be legally obligated to pay some or all of the rent to the landlord.

It shall not be unreasonable for a landlord to timely withhold approval of an additional occupant on the grounds that the landlord resides in the same rental unit as the tenant, that the proposed additional occupant is prohibited from occupying the rental unit by state or federal law or by the terms of an applicable affordable housing deed restriction, or on any other legitimate grounds.

Nothing in this subsection (a)(2) shall permit occupancy in excess of any maximum allowable occupancy established by law.

Proposed Amendment Concerning Family-Member Occupancy After Tenant Vacancy

Section 1806. <u>Eviction</u>

(c) Notwithstanding any contrary provision in this Section or in the rental housing agreement, if a covered occupant has lived in the rental unit for at least one year at the time the tenant of the owner vacates, the landlord is prohibited from taking any action to obtain possession of the rental unit from the covered occupant on the ground that the covered occupant is not authorized to occupy the rental unit, unless the reason for being unauthorized is that the covered occupant is not qualified or authorized to occupy the rental unit under the terms of an applicable affordable housing deed restriction.

For purposes of this subsection, "covered occupant" means any remaining occupant of the rental unit who is a dependent of the tenant of the owner, was authorized to reside in the rental unit under subsection (a)(2)(B) or (D), was otherwise authorized to reside in the rental unit by law, or is the minor dependent of any such person.

Proposed Amendment Concerning Affordable Housing Deed Restrictions

Section 1806. <u>Eviction</u>

(a) No landlord shall take action to terminate any tenancy including but not limited, to making a demand for possession of a rental unit, threatening to terminate a tenancy, serving any notice to quit or other eviction notice or bringing any action to recover possession or be granted recovery of possession of a controlled rental unit unless:

. . .

(11) The tenant does not qualify for the rental unit under the terms of an applicable affordable housing deed restriction, or is causing a violation of the affordable housing deed restriction, and the landlord seeks in good faith to recover possession of the rental unit in order to comply with the applicable affordable housing deed restriction or guidelines, provided the landlord complies with all applicable regulations.

(12) The tenant of a rental unit subject to an affordable housing deed restriction has failed or refused to provide proof of income or other qualification for the rental unit, after written notice requesting such proof, where an applicable affordable housing deed restriction or applicable law requires the tenant to provide proof of income or other qualification in order to reside in the unit.

(b) Any written notice as described in Subsections (a)(2), (3), (6) or (12) shall be served by the landlord a reasonable period prior to serving a notice to terminate tenancy and shall inform the tenant that a failure to cure may result in the initiation of eviction proceedings. The Board may enact regulations regarding reasonable notice.

Proposed Amendment Concerning Tenant Protection Act Findings

Section 1822. <u>Tenant Protection Act Finding</u>

Whereas this Article limits the reasons for termination of a residential tenancy consistent with the provisions of California Civil Code section 1946.2; further limits the reasons for termination of a residential tenancy to a greater degree than California Civil Code section 1946.2; provides (in conjunction with implementing provisions of the Santa Monica Municipal Code) for higher relocation assistance amounts than California Civil Code section 1946.2; and provides additional tenant protections not prohibited by any other provision of law; this Article is found to be more protective than the provisions of California Civil Code section 1946.2, such that any rental unit subject to this Article is not subject to California Civil Code section 1946.2.

Proposed Amendment Concerning Small Rental Debts

Section 1806. Eviction

(a) No landlord shall take action to terminate any tenancy including but not limited, to making a demand for possession of a rental unit, threatening to terminate a tenancy, serving any notice to quit or other eviction notice or bringing any action to recover possession or be granted recovery of possession of a controlled rental unit unless:

(1) The tenant has failed to pay the rent to which the landlord is entitled under the rental housing agreement and this Article., provided that the amount due exceeds the average of the Small Area Fair Market Rents set annually by the U.S. Department of Housing and Urban Development for equivalent sized rental units in the residential ZIP Codes located wholly or partially within the City of Santa Monica, and the written notice to the tenant terminating tenancy states the number of bedrooms in the tenant's rental unit and the applicable average Small Area Fair Market Rent amount for an equivalent sized rental unit.

Proposed Amendment Concerning Added Household Members

Section 1806. Eviction

(a) No landlord shall take action to terminate any tenancy including but not limited, to making a demand for possession of a rental unit, threatening to terminate a tenancy, serving any notice to quit or other eviction notice or bringing any action to recover possession or be granted recovery of possession of a controlled rental unit unless:

. . .

(2) The tenant has continued, after written notice to cease, to commit a material and substantial breach of an obligation or covenant of his or her tenancy which the landlord has not waived, either expressly or impliedly through the landlord's conduct and which the landlord is not estopped from asserting, other than the obligation to surrender possession upon proper notice. Notwithstanding any contrary provision in this Section, and notwithstanding any contrary provision in the rental housing agreement, a landlord shall not take any action to terminate a tenancy, and there shall be no grounds to take action to terminate any tenancy, based on: ~~a tenant's sublease of the unit if the following requirements are met:~~

(A) a tenant's sublease of the unit if the following requirements are met:

(i) The tenant continues to reside in the rental unit.

(ii) The sublease replaces a departed tenant(s) under the rental agreement on a one-for-one basis.

(iii) The landlord has unreasonably withheld the right to sublease following written request by the tenant. If the landlord fails to respond to the tenant in writing within fourteen (14) days of receipt of the tenant's written request, the tenant's request shall be deemed approved by the landlord.

(B) occupancy of the rental unit by one or more additional persons in excess of the number of persons permitted by the rental housing agreement if the tenant of the owner has continuously resided in the rental unit for at least one year before the additional person begins residing in the rental unit, and each additional person is the spouse, domestic partner who has filed an Affidavit of Domestic Partnership with the City, parent, grandparent, child, grandchild, sibling, dependent of the tenant of the owner, or minor dependent of any

additional person listed in this section, provided that the additional person is not prohibited from occupying the rental unit by state or federal law or by an applicable affordable housing deed restriction. The tenant of the owner shall give written notice to the landlord within fourteen (14) days after the additional person begins residing in the rental unit, and stating that the additional person is a family member or dependent covered by this subparagraph.

(C) occupancy of the rental unit by any number of persons in excess of the number of persons permitted by the rental housing agreement if the excess occupancy results from the birth, adoption, or change of legal custody of a minor child or children for whom the tenant, or the tenant's spouse or domestic partner who has filed an Affidavit of Domestic Partnership with the City, is the parent or legal guardian, provided that the occupancy is not prohibited by state or federal law or by an applicable affordable housing deed restriction.

(D) occupancy of the rental unit by one or more additional persons in excess of the number of persons permitted by the rental housing agreement and such additional person intends to create a household with the tenant of the owner notwithstanding the fact that the additional person is not a family member or dependent of the tenant identified in subsection (B), if all of the following conditions are met:

(i) The tenant of the owner has continuously resided in the rental unit for at least one year before the additional person begins residing in the rental unit and continues to reside in the rental unit; and

(ii) The landlord has unreasonably withheld approval of the additional occupant following written request by the tenant of the owner. If the landlord fails to respond to the tenant in writing within fourteen (14) days of receipt of the tenant's written request for approval, the tenant's request shall be deemed approved by the landlord.

A landlord's denial of approval of an additional occupant shall be unreasonable if it is based on the additional occupant's lack of creditworthiness or financial criteria and the additional occupant will not be

legally obligated to pay some or all of the rent to the landlord.

It shall not be unreasonable for a landlord to timely withhold approval of an additional occupant on the grounds that the landlord resides in the same rental unit as the tenant, that the proposed additional occupant is prohibited from occupying the rental unit by state or federal law or by the terms of an applicable affordable housing deed restriction, or on any other legitimate grounds.

Nothing in this subsection (a)(2) shall permit occupancy in excess of any maximum allowable occupancy established by law.

Proposed Amendment Concerning Family-Member Occupancy After Tenant Vacancy

Section 1806. Eviction

(c) Notwithstanding any contrary provision in this Section or in the rental housing agreement, if ~~the tenant's spouse, child(ren), and/or domestic partner who has filed an Affidavit of Domestic Partnership with the City~~ a covered occupant ~~have~~ has lived in the rental unit for at least one year at the time the tenant of the owner vacates ~~the unit due to death or incapacitation~~, the landlord is prohibited from taking any action to obtain possession of the rental unit from the ~~tenant's spouse, child(ren), and/or registered domestic partner~~ covered occupant on the ground that the ~~spouse, child(ren) and/or registered domestic partner~~ covered occupant ~~are~~ is not authorized to occupy the rental unit, unless the reason for being unauthorized is that the covered occupant is not qualified or authorized to occupy the rental unit under the terms of an applicable affordable housing deed restriction.

For purposes of this subsection, "covered occupant" means any remaining occupant of the rental unit who is a dependent of the tenant of the owner, was authorized to reside in the rental unit under subsection (a)(2)(B) or (D), was otherwise authorized to reside in the rental unit by law, or is the minor dependent of any such person.

Proposed Amendment Concerning Affordable Housing Deed Restrictions

Section 1806. Eviction

(a) No landlord shall take action to terminate any tenancy including but not limited, to making a demand for possession of a rental unit, threatening to terminate a tenancy, serving any notice to quit or other eviction notice or bringing any action to recover possession or be granted recovery of possession of a controlled rental unit unless:

. . .

(11) The tenant does not qualify for the rental unit under the terms of an applicable affordable housing deed restriction, or is causing a violation of the affordable housing deed restriction, and the landlord seeks in good faith to recover possession of the rental unit in order to comply with the applicable affordable housing deed restriction or guidelines, provided the landlord complies with all applicable regulations.

(12) The tenant of a rental unit subject to an affordable housing deed restriction has failed or refused to provide proof of income or other qualification for the rental unit, after written notice requesting such proof, where an applicable affordable housing deed restriction or applicable law requires the tenant to provide proof of income or other qualification in order to reside in the unit.

(b) Any written notice as described in Subsections (a)(2), (3), ~~or~~ (6) or (12) shall be served by the landlord a reasonable period prior to serving a notice to terminate tenancy and shall inform the tenant that a failure to cure may result in the initiation of eviction proceedings. The Board may enact regulations regarding reasonable notice.

Proposed Amendment Concerning Tenant Protection Act Findings

Section 1822. Tenant Protection Act Finding

Whereas this Article limits the reasons for termination of a residential tenancy consistent with the provisions of California Civil Code section 1946.2; further limits the reasons for termination of a residential tenancy to a greater degree than California Civil Code section 1946.2; provides (in conjunction with implementing provisions of the Santa Monica Municipal Code) for higher relocation assistance amounts than California Civil Code section 1946.2; and provides additional tenant protections not prohibited by any other provision of law; this Article is found to be more protective than the provisions of California Civil Code section 1946.2, such that any rental unit subject to this Article is not subject to California Civil Code section 1946.2.

Exhibit 2

Section 1806(a)(1) of Article XVIII of the City Charter shall be amended to read as follows:

1806 **Evictions.**

(a) No landlord shall take action to terminate any tenancy including, but not limited, to making a demand for possession of a rental unit, threatening to terminate a tenancy, serving any notice to quit or other eviction notice or bringing any action to recover possession or be granted recovery of possession of a controlled rental unit except on one of the following grounds:

(1) The tenant has failed to pay the rent to which the landlord is entitled under the rental housing agreement and this Article, provided that the amount due exceeds the average of the Small Area Fair Market Rents set annually by the U.S. Department of Housing and Urban Development for equivalent sized rental units in the residential ZIP Codes located wholly or partially within the City of Santa Monica, rounded to the nearest dollar, and the written notice to the tenant terminating tenancy states the number of bedrooms in the tenant's rental unit and the applicable average Small Area Fair Market Rent amount for an equivalent sized rental unit.

Section 2304(a)(1) of Article XXIII of the City Charter shall be amended to read as follows:

2304 **Just cause for evictions—Notices to cease.**

(a) No landlord shall take action to terminate a tenancy in a nonrentcontrolled rental unit including, but not limited to, making a demand for possession of a rental unit, threatening to terminate a tenancy, serving any notice to quit or other eviction notice or

bringing any action to recover possession or be granted recovery of possession of the unit except on one of the following grounds:

(1) The tenant has failed to pay the rent to which the landlord is entitled under the rental housing agreement, provided that the amount due exceeds the average of the Small Area Fair Market Rents set annually by the U.S. Department of Housing and Urban Development for equivalent sized rental units in the residential ZIP Codes located wholly or partially within the City of Santa Monica, rounded to the nearest dollar, and the written notice to the tenant terminating tenancy states the number of bedrooms in the tenant's rental unit and the applicable average Small Area Fair Market Rent amount for an equivalent sized rental unit.